

Module 2.2: National Differences

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Agenda

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IV. Regulation systems

The legal system of a country consists of laws that regulate behavior, enforce rules, and provide solutions for grievances. It plays a crucial role in international business by shaping business practices, transaction procedures, and the rights and responsibilities of parties involved. Legal systems vary greatly between countries and are influenced by political systems and historical traditions. For example, totalitarian states often restrict private enterprise, while democratic states support it. Key aspects of legal systems that impact international business include differences in legal structures, contract law, property rights (especially intellectual property like patents and trademarks), and regulations on product safety and liability. There are three main types of legal systems or legal traditions used around the world: common law, civil law, and theocratic law.

A. Common Law (Unwritten law system)

The common law system developed in England over many centuries and is currently used in many of Britain's former colonies, such as the United States. It is built upon tradition, previous court decisions (precedent), and customary practices. Tradition reflects a nation's legal background, precedent involves past judicial rulings, and custom relates to how laws are implemented in specific contexts. Courts consider all these elements when interpreting the law, which makes the system more adaptable than others. Judges have the authority to apply the law based on the particular facts of each case, and their decisions can establish precedents that guide future rulings. Over time, these precedents can lead to changes or refinements in the law to address new developments.

B. Civil Law (Written Law system)

A civil law system is based on a detailed set of laws organized into codes. When law courts interpret civil law, they do so with regard to these codes. More than 80 countries—including Germany, France, Japan, and Russia—operate with a civil law system. A civil law system tends to be less adversarial than a common law system because the judges rely on detailed legal codes rather than interpreting tradition, precedent, and custom. Judges under a civil law system have less flexibility than those under a common law system. Judges in a common law system have the power to interpret the law, whereas judges in a civil law system have the power only to apply the law.

C. Theocratic Law

➤ A theocratic legal system is based on religious teachings, with Islamic law being the most prominent example today. Rooted in the Koran, the Sunnah, and scholarly interpretations, Islamic law governs all areas of life and remains largely unchanged due to its sacred foundation. Though primarily focused on moral conduct, it also influences commercial practices—for instance, forbidding interest (usury), which has legal implications in some Muslim countries like Pakistan. While Islamic law remains central, many Muslim nations combine it with common or civil law. Islamic finance has grown significantly, with over 500 institutions managing more than \$2 trillion in assets by 2016.

D. Difference in contract law

- Common law and civil law systems differ in how they handle contract law. Common law contracts are usually lengthy and detailed due to fewer predefined legal rules, while civil law contracts are shorter since many terms are already outlined in a civil code. This makes common law contracts more costly and disputes more adversarial, but the system allows more flexibility for judges to interpret cases. International businesses must understand these differences to avoid missteps in legal disputes.

➤To address cross-border contract issues, many countries have adopted the United Nations Convention on Contracts for the International Sale of Goods (CISG), which standardizes rules for international contracts. However, by 2020, only 93 countries had ratified it, with major trading nations like India and the UK opting out. When firms reject the CISG, they often resolve disputes through arbitration, commonly using the International Court of Arbitration in Paris, which manages hundreds of international cases annually.

E. Property rights and corruption

In legal terms, property refers to resources owned by an individual or business, such as land, buildings, equipment, capital, mineral rights, businesses, and intellectual property (protected by patents, copyrights, and trademarks). Property rights are the legal entitlements to control how a resource is used and to profit from it. Different countries have varying degrees of legal protection for property rights. Most nations have laws to protect these rights, and even China, a nominally communist state, passed a law in 2007 to protect private property.

This law was strengthened in 2016 to offer more protection for land and intellectual property due to increasing innovation in the country.

However, in many nations, these laws are not effectively enforced, and property rights can be violated through both private actions (e.g., theft) and public actions (e.g., government interference).

Private Action

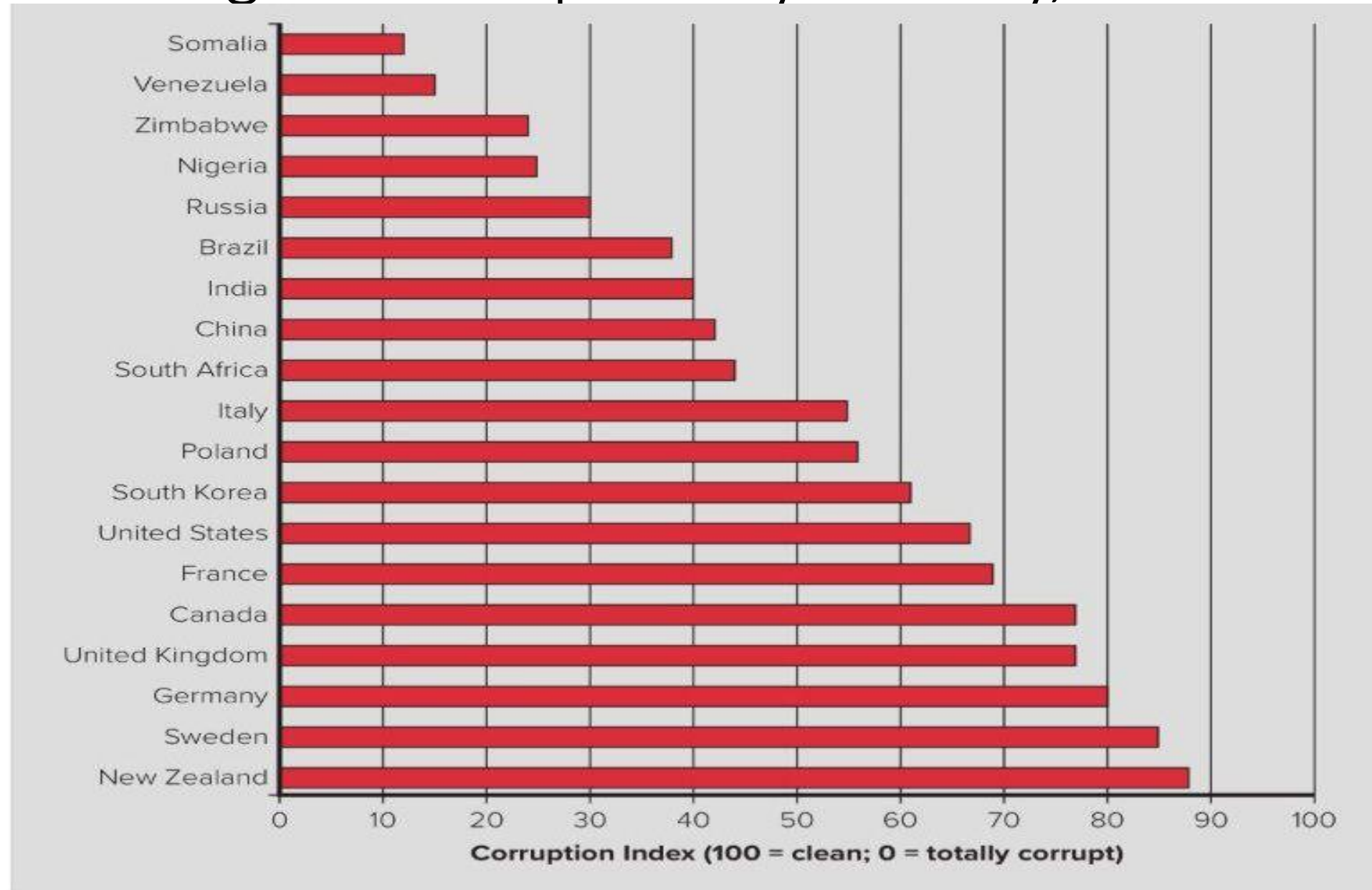
Private action that violates property rights includes crimes like theft, piracy, and blackmail by individuals or groups. A weak legal system increases the occurrence of such criminal activities. For example, after the collapse of communism in Russia, a weak legal and judicial system allowed organized crime groups like the "Russian Mafia" to extort businesses, demanding protection money and resorting to violence. While organized crime exists in other countries, such as the Mafia in the U.S. and the yakuza in Japan, the severity of the problem in Russia during the 1990s was mainly due to its weakened legal enforcement system. Other countries have also faced similar or worse issues at different times.

Public Action and Corruption

➤ public action violations of property rights, where government officials exploit their positions to extort resources from property holders. These violations can occur through legal means, such as excessive taxation or asset seizure without compensation, or through illegal methods, like bribery and corruption. Corruption is prevalent in many societies worldwide, from the Philippines under Ferdinand Marcos to Indonesia under Suharto. Some countries have strong legal systems that minimize corruption, while others suffer from weak enforcement, where corruption is seen as a perk of office.

➤ Transparency International reports that corruption costs businesses and individuals around \$400 billion annually due to bribes in government procurement. Corruption negatively affects economic growth by reducing investment, as it diminishes the returns on business ventures. This leads to lower foreign direct investment, trade, and economic growth in countries with high corruption levels, such as Indonesia, Nigeria, and Russia. The text highlights how corruption can hinder development, citing Brazil as an example of the detrimental economic impact.

Rankings of corruption by country, 2020



Foreign Corrupt Practices Act

- Legal measures to combat corruption in international business. In the 1970s, the United States passed the Foreign Corrupt Practices Act (FCPA) in response to U.S. companies bribing foreign officials to win contracts. The FCPA makes it illegal to bribe foreign government officials to obtain or maintain business and requires publicly traded companies to maintain records to detect violations. Walmart's possible violation of the FCPA in 2012, due to bribery in Mexico, is mentioned.
- In 1997, the Organisation for Economic Co-operation and Development (OECD) adopted the Convention on Combating Bribery of Foreign Public Officials in International Business Transactions, requiring member states to criminalize bribery of foreign officials.
- Both the FCPA and the OECD convention allow exceptions for "facilitating or expediting payments" (also called grease payments). These small payments, meant to speed up routine government actions like issuing permits or processing paperwork, are considered less offensive than bribes meant to secure business and are exempt from general anti-bribery laws.

F. Protection of intellectual property

Intellectual property (IP) refers to creations of the mind like software, music, and inventions, protected by patents, copyrights, and trademarks. Patents, copyrights, and trademarks establish ownership rights over intellectual property.

- ❑ **A patent** grants the inventor of a new product or process exclusive rights for a defined period to the manufacture, use, or sale of that invention.
- ❑ **Copyrights** are the exclusive legal rights of authors, composers, playwrights, artists, and publishers to publish and disperse their work as they see fit.
- ❑ **Trademarks** are designs and names, officially registered, by which merchants or manufacturers can differentiate their products.

- In the high-technology “knowledge” economy of the twenty-first century, intellectual property has become an increasingly important source of economic value for businesses. Protecting intellectual property has also become increasingly problematic, particularly if it can be rendered in a digital form and then copied and distributed at very low cost over the internet (e.g., computer software, music, and video recordings).
- However, enforcement of IP laws varies globally, often being weak in countries like China and Thailand, leading to widespread piracy and major financial losses—such as the \$63 billion lost annually by software firms due to piracy. International efforts, like the TRIPS agreement under the World Trade Organization (WTO), aim to strengthen global IP protections, requiring countries to enforce minimum standards. Businesses respond to IP violations by lobbying governments, filing lawsuits, avoiding markets with weak enforcement, and monitoring for pirated goods.

D. Production safety and product liability

- Product safety laws require products to meet certain safety standards, while product liability holds companies and their leaders accountable if their products cause injury, death, or damage. Liability risks increase if a product fails to meet these safety requirements. Both civil and criminal liability laws exist: civil laws demand financial compensation, while criminal laws can lead to fines or prison sentences. The United States has some of the most extensive product liability laws, although many other Western countries have strong regulations as well. In contrast, less developed countries often have much weaker laws.

➤ In the U.S., a surge in product liability lawsuits led to a sharp rise in liability insurance costs, prompting business leaders to argue that this hurts American companies that are competitiveness internationally. Moreover, differences in product safety and liability laws across countries present ethical challenges. When a firm's home country has stricter standards than a foreign country where it operates, there is a question of whether the company should uphold the higher home-country standards or follow the more relaxed local ones. Ethically, companies should stick to their home standards, yet some firms exploit weaker foreign laws to operate in ways that would be prohibited at home.

Debate

- Why was corruption defined as the obstacle to society development ?
- Why do we need to protect the intellectual property ?
- Assume that you are FDI, What do you think about country in which has higher corruption ?